3-1d Types of Accounts Requiring Adjustment

The two general classifications of accounts requiring adjustment are as follows:

- Accruals
- Deferrals

Accruals

An
accrual (A revenue that has been earned or an expense that has been incurred but has not been recorded.)
occurs when revenue has been earned or an expense has been incurred but has not been recorded. If the accrual is for revenue, the adjusting entry debits an asset (Accounts Receivable) and credits a revenue account. If the accrual is for an expense, the adjusting entry debits an expense account and credits a related liability account such as Accounts Payable or Wages Payable. Exhibit 1 summarizes the accounting for accruals.

Exhibit 1

Accruals

ACCRUED REVENUE				
Initial Recording		End-of-Period Adjustment		
Transaction	**Journal Entry**	**Adjustment Data**	**Adjusting Entry**	
Revenue has been earned.	No journal entry has been made	Revenue earned.	**Accounts Receivable**	**XXX**
			Revenue	**XXX**
ACCRUED EXPENSE				
Initial Recording		**End-of-Period Adjustment**		
Transaction	**Journal Entry**	**Adjustment Data**	**Adjusting Entry**	
Expense has been incurred.	No journal entry has been made.	Expense incurred.	**Expense**	**XXX**

	Accounts Payable	XXX

Deferrals

A **deferral** (A future revenue or expense initially recorded as a liability or asset.) occurs when cash related to a future revenue or expense has been initially recorded as a liability or an asset. If the cash received is related to future revenue, it is initially recorded as a liability called **unearned revenue**. The adjusting entry in the period when the revenue is earned debits an unearned revenue account and credits a revenue account. If the cash paid is related to a future expense, it is initially recorded as an asset called **prepaid expense**. The adjusting entry in the period when the expense is incurred debits an expense account and credits a prepaid expense (asset) account. Exhibit 2 summarizes the accounting for deferrals.

Exhibit 2

Deferrals

UNEARNED REVENUE

Initial Recording			End-of-Period Adjustment	
Transaction	**Journal Entry**		**Adjustment Data**	**Adjusting Entry**	
Cash has been received for revenue that will be earned in a future period.	Cash	XXX	Revenue has been earned.	**Unearned Revenue**	**XXX**
	Unearned Revenue	XXX		**Revenue**	**XXX**

PREPAID EXPENSE

Initial Recording			End-of-Period Adjustment		
Transaction	**Journal Entry**		**Adjustment Data**	**Adjusting Entry**	
Cash has been paid for a future expense.	Prepaid Expense	XXX	Prepaid expense has been used to generate revenue.	**Expense**	**XXX**
	Cash	XXX		**Prepaid Expense**	**XXX**